

C211

Global Economics for Managers

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

Method © 2026 Erik Daniel Lindquist — Course Mastery Coach, armored drill. Items drafted with AI assistance under his direction.

How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A theme park that opened in 1995 and has 40 rides raised its ticket price from \$80 to \$88, a 10% increase. Daily attendance fell 20%. The park's owner also added a new roller coaster this season. What is the price elasticity of demand, and what happened to ticket revenue?

- A. 0.5; demand is inelastic, so revenue rose.
- B. 1.0; demand is unit elastic, so revenue did not change.
- C. 2.0; revenue rose because the price went up.
- D. 2.0; demand is elastic, so revenue fell.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

Demand for a firm's product has a price elasticity of 0.4. What should the firm do to raise total revenue?

- A. Cut the price, because lower prices sell more units.
- B. Keep the price, because revenue cannot change when demand is inelastic.
- C. Raise the price.
- D. Cut the price.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

In one day, a worker in Country A can make 40 shirts or 20 tablets. A worker in Country B, which has a larger population and a major coastal port, can make 30 shirts or 10 tablets. Which good should Country B specialize in?

- A. Neither, because a less productive country can never gain from trade.
- B. Neither; A is better at both, so B should not trade.
- C. Shirts, because its opportunity cost of shirts is lower.
- D. Tablets.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

Country X gives up 2 tons of rice to produce 1 ton of wheat. Country Y gives up 0.5 tons of rice to produce 1 ton of wheat. Which statement is true?

- A.** Y has the comparative advantage in wheat, and X in rice.
- B.** X has the comparative advantage in wheat.
- C.** It cannot be known without each country's total output.
- D.** Y has the comparative advantage in both goods.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A bank founded in 1902 offers a federally insured certificate of deposit paying 7% a year. Expected inflation is 3%. The bank recently opened a branch near the treasurer's office. About what real return does the CD offer?

- A.** About 10%
- B.** About 4%
- C.** 7%
- D.** About 2.3%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

An investor wants a real return of 3% and expects inflation of 4%. About what nominal rate must she earn?

- A.** 4%
- B.** About 7%
- C.** About 12%
- D.** About 1%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A Wisconsin cheese maker sells 60% of its output to Europe and prices it in dollars. It recently won a national cheese award. Over the past year, the U.S. dollar has appreciated 15% against the euro. What is the most likely effect on its European sales?

- A. No effect, because the price is set in dollars.
- B. They fall, because the cheese costs European buyers more euros.
- C. They rise, because the cheese is now cheaper for Europeans.
- D. They rise, because the award boosts demand.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

A U.S. company buys all its components from suppliers in Japan, priced in yen. Which change would lower its costs?

- A. The dollar appreciates against the yen.
- B. None; exchange rates never affect import costs.
- C. The euro strengthens against the dollar.
- D. The dollar depreciates against the yen.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

Inflation has risen to 6%, well above the central bank's 2% target. A new chair began her term at the central bank last month, and the stock market hit a record high last week. What is the central bank's most likely policy move, and why?

- A. Raise income taxes.
- B. Cut interest rates to encourage spending.
- C. Raise rates, which will immediately bring inflation back to 2%.
- D. Raise its policy interest rate to slow borrowing and spending.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A manager at an exporter with plants in two countries reads that the national economy is in recession and unemployment has reached 8%. Her company's sales fell 12% last quarter. Which action is an example of expansionary fiscal policy?

- A.** The government raises taxes to balance the budget.
- B.** The central bank buys government bonds.
- C.** The legislature cuts income taxes and funds new infrastructure projects.
- D.** The central bank lowers its policy interest rate.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A Kansas wheat farmer with 2,000 acres and a new combine sells her wheat into a market with thousands of sellers offering an identical product. If she tries to charge more than the market price, what is most likely to happen?

- A.** She sells almost nothing, because buyers switch to other sellers.
- B.** She sells somewhat less but earns more per bushel.
- C.** Her revenue rises, because higher prices always raise revenue.
- D.** Rivals match her price, as in an oligopoly.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A furniture maker with three plants finds that producing its 101st table this week would add \$40 in revenue and \$46 in cost. Its average total cost per table is \$38, and demand has been steady all year. Should it produce the 101st table?

- A.** Yes; revenue per table exceeds average total cost.
- B.** Yes; marginal revenue is positive.
- C.** Yes; when MC exceeds MR, the firm should expand output.
- D.** No; the extra table adds more to cost than to revenue.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A theme park ~~that opened in 1995 and has 40 rides~~ raised its ticket price from \$80 to \$88, a 10% increase. Daily attendance fell 20%. ~~The park's owner also added a new roller coaster this season.~~ What is the price elasticity of demand, and what happened to ticket revenue?

Target word: elasticity and revenue effect **Decides:** $20\% / 10\% = 2$, which is elastic.

A	Inverted operation	Divides price change by quantity change.
B	Adjacent category	Unit elasticity needs equal percentage changes; these differ.
C	Dropped element	Drops the link between elastic demand and falling revenue.
D	Correct	Revenue per 100 visitors went from \$8,000 to $80 \times \$88 = \$7,040$.

2. Answer C Concept 1 • transfer

Demand for a firm's product has a price elasticity of 0.4. What should the firm do to raise total revenue?

Target word: price move that raises revenue **Decides:** 0.4 is inelastic.

A	Dropped element	Drops how much more; here the gain in units is too small.
B	Absolute language	Revenue does change; it moves in the same direction as price.
C	Correct	With inelastic demand, quantity falls by a smaller percentage than price rises.
D	Inverted operation	Cutting price lowers revenue when demand is inelastic.

3. Answer C Concept 2

In one day, a worker in Country A can make 40 shirts or 20 tablets. A worker in Country B, ~~which has a larger population and a major coastal port,~~ can make 30 shirts or 10 tablets. Which good should Country B specialize in?

Target word: B's specialization **Decides:** B's opportunity cost of a shirt is $1/3$ tablet; A's is $1/2$ tablet.

A	Absolute language	Gains come from differences in opportunity cost, not productivity levels.
B	Confusion set	Confuses absolute advantage with comparative advantage.
C	Correct	B gives up $1/3$ tablet per shirt versus A's $1/2$ tablet.
D	Inverted operation	B's cost per tablet is 3 shirts versus A's 2; A should make tablets.

4. Answer A Concept 2 • transfer

Country X gives up 2 tons of rice to produce 1 ton of wheat. Country Y gives up 0.5 tons of rice to produce 1 ton of wheat. Which statement is true?

Target word: who has the comparative advantage in each good **Decides:** Lower opportunity cost of wheat is Y's.

A	Correct	Y's wheat costs 0.5 rice; X's rice costs only 0.5 wheat.
B	Inverted operation	X's wheat costs more rice than Y's.
C	Adjacent category	Opportunity costs alone decide comparative advantage.
D	Confusion set	A country cannot have a comparative advantage in both goods.

5. Answer B Concept 3

A bank ~~founded in 1902~~ offers a ~~federally insured~~ certificate of deposit paying 7% a year. Expected inflation is 3%. ~~The bank recently opened a branch near the treasurer's office.~~ About what real return does the CD offer?

Target word: real return **Decides:** Real $\approx$ nominal – inflation.

A	Inverted operation	Adds inflation instead of subtracting it.
B	Correct	$7\% - 3\% = 4\%$.
C	Wrong stem number	That is the nominal rate.
D	Confusion set	Divides 7 by 3; the relation is a difference.

6. Answer B Concept 3 • transfer

An investor wants a real return of 3% and expects inflation of 4%. About what nominal rate must she earn?

Target word: solve for nominal **Decides:** Nominal $\approx$ real + inflation.

A	Wrong stem number	That is expected inflation alone.
B	Correct	$3\% + 4\% = 7\%$.
C	Confusion set	Multiplies the rates.
D	Inverted operation	Subtracts instead of adding.

7. Answer B Concept 4

A Wisconsin cheese maker sells 60% of its output to Europe and prices it in dollars. ~~It recently won a national cheese award.~~ Over the past year, the U.S. dollar has appreciated 15% against the euro. What is the most likely effect on its European sales?

Target word: effect on exports **Decides:** A stronger dollar makes U.S. goods cost more in euros.

A	Dropped element	Drops the currency conversion European buyers must make.
B	Correct	Appreciation raises the foreign-currency price of exports.
C	Inverted operation	That is the effect of a dollar depreciation.
D	Camouflage	Answers the award detail, not the exchange-rate question.

8. Answer A Concept 4 • transfer

A U.S. company buys all its components from suppliers in Japan, priced in yen. Which change would lower its costs?

Target word: exchange move that cheapens imports **Decides:** Imports get cheaper when the home currency strengthens.

A	Correct	Each dollar buys more yen, so components cost fewer dollars.
B	Absolute language	Foreign-priced inputs change in cost whenever the rate moves.
C	Adjacent category	The euro is not involved in these purchases.
D	Inverted operation	A weaker dollar makes yen-priced parts cost more.

9. Answer D Concept 5

Inflation has risen to 6%, well above the central bank's 2% target. ~~A new chair began her term at the central bank last month, and the stock market hit a record high last week.~~ What is the central bank's most likely policy move, and why?

Target word: monetary response to inflation **Decides:** Inflation is above target.

A	Confusion set	Taxes are fiscal policy, set by government, not the central bank.
B	Inverted operation	That is the recession response and would add to inflation.
C	Absolute language	Rate changes work with long, uncertain lags.
D	Correct	Contractionary monetary policy cools demand and inflation.

10. Answer C Concept 6

A manager at an exporter ~~with plants in two countries~~ reads that the national economy is in recession and unemployment has reached 8%. ~~Her company's sales fell 12% last quarter.~~ Which action is an example of expansionary fiscal policy?

Target word: expansionary fiscal action **Decides:** Fiscal = government taxing and spending.

A	Inverted operation	That is contractionary fiscal policy.
B	Confusion set	Bond purchases are a monetary tool.
C	Correct	Lower taxes and higher spending by government are expansionary fiscal policy.
D	Adjacent category	Expansionary, but monetary policy.

11. Answer A Concept 7

A Kansas wheat farmer ~~with 2,000 acres and a new combine~~ sells her wheat into a market with thousands of sellers offering an identical product. If she tries to charge more than the market price, what is most likely to happen?

Target word: result of pricing above market **Decides:** Many sellers, identical product: she is a price taker.

A	Correct	A price taker faces flat demand at the market price.
B	Confusion set	Describes a firm with a downward-sloping demand curve, such as a monopolist.
C	Absolute language	Revenue depends on how quantity responds.
D	Adjacent category	Thousands of small sellers do not react to one farmer.

12. Answer D Concept 8

A furniture maker ~~with three plants~~ finds that producing its 101st table this week would add \$40 in revenue and \$46 in cost. ~~Its average total cost per table is \$38, and demand has been steady all year.~~ Should it produce the 101st table?

Target word: produce one more or not **Decides:** Marginal cost \$46 exceeds marginal revenue \$40.

A	Camouflage	Answers the average cost figure; decisions at the margin use MC.
B	Dropped element	Drops the comparison with marginal cost.
C	Inverted operation	Backward: MC above MR means cut back.
D	Correct	MC > MR, so this unit lowers profit by \$6.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	4	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	5	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	11	
Absolute language	Always, never, guarantee — where judgment applies.	5	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Price elasticity and total revenue	Elasticity = % change in quantity / % change in price; if demand is elastic (above 1), raising price lowers total revenue; if inelastic (below 1), raising price raises it.	Assuming a price increase always raises revenue.	A percentage price change and a percentage quantity change.
2	Comparative advantage	Specialize in the good with the lower opportunity cost; trade can benefit both sides even when one country is better at everything.	Confusing absolute advantage (more output) with comparative advantage (lower opportunity cost).	Two producers, two goods and output per worker.
3	Real vs. nominal interest rates	Real rate $\approx$ nominal rate – expected inflation.	Adding inflation, or treating the nominal rate as purchasing-power growth.	A stated interest rate and an inflation rate.
4	Exchange rates and trade	When a country's currency appreciates, its exports become more expensive abroad and its imports cheaper at home.	Thinking a strong currency always helps exporters.	A currency strengthening or weakening and a firm that exports or imports.
5	Monetary policy	To fight inflation a central bank raises interest rates, which slows borrowing and spending; to fight recession it lowers them.	Mixing up the direction, or giving the central bank tax powers.	Inflation above target, or a recession, and the central bank's move.
6	Fiscal vs. monetary policy	Fiscal policy is government taxing and spending; monetary policy is the central bank's control of interest rates and the money supply.	Calling a central bank action fiscal policy.	Who acts: the legislature and treasury, or the central bank.
7	Market structure and pricing power	In perfect competition firms are price takers facing flat demand; monopolies and oligopolies have some control over price.	Assuming any firm can raise its price and still sell.	Many sellers of an identical product.
8	Marginal analysis	Produce a unit only if its marginal revenue is at least its marginal cost; profit peaks where $MR = MC$.	Deciding from average cost or from whether MR is positive.	MR and MC of one more unit, with average figures nearby.

Course scope (public description): This course examines how economic tools, techniques, and indicators can be used for solving organizational problems related to competitiveness, productivity, and growth. You will explore the management implications of a variety of economic concepts and effective strategies to make decisions within a global context.